Benchmarking system by system replaced a blanket cost mandate with a focused agenda.

A pre-FEED gas development had been told it was not first quartile, with no evidence of where or why. Two independent benchmarks — top-down against 27 peers and bottom-up to component level — put the gap in pipeline and rig rate, and cleared production facilities.

INDUSTRY	ENGAGEMENT CONTEXT	ROLE	DURATION
Oil & gas — upstream, offshore	Consulting · Wood Mackenzie · supermajor, $2B+ gas development	Independent competitiveness review (pre-FEED)	4 months

THE SITUATION

- An internal review placed costs outside first quartile, with no like-for-like evidence of where.
- Comparable shallow-water gas peers were scarce, so a credible peer set was the first problem to solve.
- Without isolating the systems driving the gap, the default response would be to cut everywhere.

MY CONTRIBUTION

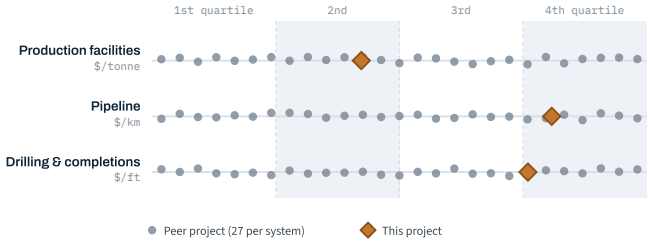
Led the benchmarking workstream: built the 27-peer set, normalised cost top-down by system and bottom-up by component, and turned a fragmented cost picture into an independent, board-ready verdict for the gap-to-goal workshop.

THE JUDGMENT THAT MATTERED

First quartile is not the right goal for every system. Separating structural gaps — tie-back distance, seabed conditions, a thin regional contracting market — from commercially addressable ones such as rig rate made the benchmark actionable rather than merely damning.

EXHIBIT 1 Two of three cost systems sit in the fourth quartile

Normalised unit cost vs 27-peer set

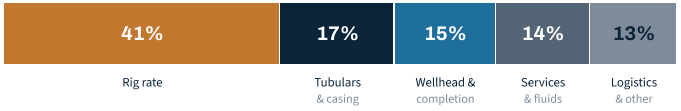


SO WHAT

The cost story is not uniform. Facilities sit mid-pack; pipeline and drilling sit in the fourth quartile, so a cut-everything mandate would spend effort where the project is already competitive.

EXHIBIT 2 Rig rate carries 41% of drilling and completions cost

Share of benchmarked D&C cost



Rig rate benchmarked against premium regional jack-up rates: fourth quartile on ~40 planned drill days, against a 30–50 day peer range.

SO WHAT

One line item carries the category, and it is the one genuinely open to negotiation — turning "drilling looks expensive" into a specific commercial lever.

WHAT THE WORK DELIVERED

The first credible like-for-like cost view: a 27-project peer set built where few ideal comparators existed.

A system-level verdict: second quartile on facilities, fourth quartile on pipeline and on drilling & completions.

The pre-FEED agenda reframed from cutting everywhere to two evidence-backed levers: pipeline and rig rate.

HEADLINE

2 of 3

cost systems in the fourth quartile

Recognised with the firm's Q3 Innovation Award

Sources. Operator cost submission benchmarked against an independent project-cost database; n=27 peers, normalised for scope, water depth and first-production year. Component shares from transactional benchmarking; ~52% of D&C rebuilt bottom-up. **Anonymisation & basis.** Client, supplier and peer identities withheld. Outcome figures are rounded from engagement results; exhibit internals are indexed or illustrative and show the analytical structure, not client data.

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